ECONOMY

• Developing & Developed Economy

42. Consider the following statements :

1. **Purchasing Power Parity (PPP) exchange rates are calculated by comparing the prices of the same basket of goods and services in different countries.**
2. **In terms of PPP dollars. India is the sixth largest economy in the world.**

Which of the statements given above is/are correct?

(a) 1 only (b) 2 only
(c) Both 1 and 2 (d) Neither 1 nor 2

Ans : (a) Purchasing power parity refers to the difference or parity in the purchasing power of currency between the two countries. Under this, exchange rates are calculated by comparing prices of similar goods and services in different countries. India is the largest economy in the world, surpassing Japan in terms of PPP-Dollars. In this context, America and China are in first and second place. Whereas the Indian economy ranks fifth in terms of GDP. Hence it is clear that statement 2 is incorrect.

• Poverty & Unemployment

43. In a given year in India, official poverty lines are higher in some States than in others because.

(a) poverty rates vary from State to State
(b) price levels vary from State to State
(c) Gross State Product varies from State to State
(d) quality of public distribution varies from State to State

Ans : (b) The official poverty lines in some states in India are higher than in other states because the price level varies from state to state. The reasons for poverty in India are the following widespread unemployment and underemployment, uneven distribution of income and wealth, low level of capital formation in India, rapidly increasing population, etc.

• Economic Planning & National Income/Budget

44. With reference to India's Five-year Plans, which of the following statements is/are correct?

1. **From the Second Five-Year Plan, there was a determined thrust towards substitution of basic and capital good industries.**
2. **the Fourth Five-Year Plan adopted the objective of correcting the earlier trend of increased concentration of wealth and economic power.**
3. **In the Fifth Five-year Plan, for the first time, the financial sector was included as an integral part of the Plan.**

Select the correct answer using the code given below

(a) 1 and 2 only (b) 2 only
(c) 3 only (d) 1, 2 and 3

Ans : (a) In the second Five Year Plan (1956-61) an attempt was made to promote such a framework of economic development that the concept of socialist economy and welfare state in the country could be realized. Special emphasis was laid on the development of basic and heavy industrie on the replacement of basic and capital goods industries.
The Fourth Five-year plan (1969-1974) is also known as the Gadgil Scheme. The philosophical basis of the fourth plan was the development of stability and attainment of self-sufficiency. In this Five Year Plan, the objective of improving the earlier tendency of increasing concentration of property and economic power was adopted. So that the goal of equality and social justice can be achieved .
The main objective of the Fifth Five Year Plan (1974-79) was to achieve self- sufficiency, eradicate poverty, and unemployment, fulfill minimum basic requirements. Whereas, the financial sector was included first time in the Ninth five- year plan as an integral part.

• Agriculture, Industry & Trade

45. With reference to the cultivation of Kharif crops in India in the last five years, consider the following statements :

1. **Area under the cultivation is the highest.**
2. **Area under the cultivation of sorghum is more than that of oilseeds.**
3. **Area of cotton cultivation is more than that of sugarcane.**
4. **Area under sugarcane cultivation has steadily decreased.**

Which of the statements given above are correct?

(a) 1 and 3 only (b) 2, 3 and 4 only
(c) 2 and 4 only (d) 1, 2 3 and 4

Ans : (a) According to the Economic Survey 2017-18, the area under paddy cultivation is 43.2 million hectares at the All-India level ,which is the highest in agriculture. 26.2 million hectares of area is used under oilseeds, while 5.1 million hectares area under sorghum cultivation. The area under cotton cultivation is 108 million hectares and the sugarcane cultivation area is 4.4 million hectares. There has been a decrease of 10.9% in the cultivation of sugarcane in 2017-18.

46. Among the following, which one is the largest exporter of rice in the world in the last five years?

(a) China (b) India
(c) Myanmar (a) Vietnam

Ans : (b) India reached the first position in 2011-12, surpassing Thailand in the export of rice; since then India has remained on the top among the rice exporting countries. In recent years (2014-18), India alone accounted for 25-26 percent of the world's rice exports. Whereas in Thailand, it has been 22 to 25 percent.

The highest dollar value of rice exports during 2018 is in the following table-

Country	Price in USD	Total Rice Export in%
India	7.4 billion	30.1%
Thailand	5.6 billion	22.7%
Vietnam	2.2 billion	9%

• Money, Banking & Tax System Central-State Financial Relations

47. Which one of the following is not the most likely measure the Government RBI takes to stop the slide of Indian rupee?

(a) Curbing imports of non-essential goods and promoting exports
(b) Encouraging Indian borrowers to issue rupee denominated Masala Bonds
(c) Easing conditions relating to external commercial borrowing
(d) Following an expansionary monetary policy

Ans : (d) To curb the depreciation of the Indian rupee, measures such as control of import of non-essential commodities and promotion of exports, incentives for Indian borrowers to issue Masala bonds of rupee denomination. Easing conditions related to foreign commercial borrowing may prove effective. The expansionary monetary policy is not followed by the Reserve Bank as it may cause the rupee to depreciate rather than rise.

48. Consider the following statements :
The Reserve Bank of India's recent directives relating to 'Storage of Payment System Data', popularly know as data diktat, command the payment system providers that-

1. **they shall ensure that entire data relating to payment systems operated by them are stored in a system only in India.**
2. **they shall ensure that the systems are owned and operated by public sector enterprises.**
3. **they shall submit the consolidated system audit report to the Comptroller and Auditor General of India by the end of the calendar year.**

Which of the statements given above is/are correct?

(a) 1 only (b) 1 and 2 only
(c) 3 only (d) 1, 2 and 3

Ans : (a) Guidelines regarding the storage of data of payment system have been issued by the Reserve Bank. According to this guidelines, it has been asked to ensure that the data related to the payment system is stored only in India under one system. The data includes all information related to end-to-end transactions, details, messages or payment instructions. By the end of the calendar year, it is mandatory for all providers to submit system audit reports which have been audited by CERT-IN experts. By 15 October, 2018, 6 months' time were given to follow the guidelines.

49. The money multiplier in an economy increases with which one of the following?

(a) Increase in the cash reserve ratio
(b) Increase in the banking habit of the population
(c) Increase in the statutory liquidity ratio
(d) Increase in the population of the country

Ans : (b) Money multiplier is the ratio of the stock of money to the stock of high powered money. It is the relationship between the monetary base and the money supply of an economy. It explains the increase in the amount of cash in circulation generated by the bank's ability to lend money out of their depositor's funds. Therefore, it refers to how an initial deposit can lead to a bigger final increase in the total money supply. Therefore, an increase in the banking habits of the population would lead to more deposits and hence an increase in the money multiplier.

50. The Service Area Approach was implemented under the purview of

(a) Integrated Rural Development Programme
(b) Lead Bank Scheme
(c) Mahatama Gandhi National Rural Employment Guarantee Scheme
(d) National Skill Development Mission

Ans : (b) The Service Area Approach (SAA) introduced in April 1989, in order to bring about an orderly and planned development of rural and semi–urban areas of the country, was extended to all Indian Scheduled Commercial Banks including Regional Rural Banks (RRBs).
Service Area Approach is an Alternative and improved method of lead bank scheme for development of bank credit for rural development under SAA, each bank branch in rural and semi – Urban area was designated to serve an area of 15 to 25 villages and the branch was responsible for meeting the needs of bank credit of its service Area.

51. Consider the following statements :

1. **Most of India's external debt is owed by governmental entities.**
2. **All of India's external debt is denominated in US dollars.**

Which of the statements given above is/are correct?

(a) 1 only (b) 2 only
(c) Both 1 and 2 (d) Neither 1 nor 2

Ans : (d) India's external debt was 543 billion dollars by the end of 2019 of which government debt is 103.8 billion dollar and non-government debts are 392 billion dollar. Hence, most of the foreign debt is due to non-governmental entities being indebted. Apart from this, India's foreign debt is in US Dollar, SDR, Indian Rupee. Japanese Yen and Euro. So, the correct answer is option (d).